IA (IA)

Capital-Light Avionics Compounder

Analyst: Justin Wen

*Capital-Light Avionics Compounder. 51.7% gross margins, $12.3M of 9M FCF, and a certification moat around cockpit avionics with decades-long platform lives [Q3 PR Aug-26]. Platform Sprint Underway. Aydin Displays ($16M revenue) adds defense footprint; exclusive Honeywell license adds annuities; eVTOL design win adds $50M+ of option value. Target: $250M revenue by 2029 [Note 11-Oct-26]. Market Prices Failure. At $19.35 [Mkt 16-Oct-26], the market implies below-bear growth against an $82.9M backlog. Our $45.41 base case is +135% upside; even the $19.22 bear case pays at spot. Our framework screens it as a **Buy** with a $44.98 blended target, 132% above the current price.*

BUY	$44.98	+132%	$19.35
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Capital-Light Avionics Compounder. 51.7% gross margins, $12.3M of 9M FCF, and a certification moat around cockpit avionics with decades-long platform lives [Q3 PR Aug-26].

Executive summary

Platform Sprint Underway. Aydin Displays ($16M revenue) adds defense footprint; exclusive Honeywell license adds annuities; eVTOL design win adds $50M+ of option value. Target: $250M revenue by 2029 [Note 11-Oct-26].

Market Prices Failure. At $19.35 [Mkt 16-Oct-26], the market implies below-bear growth against an $82.9M backlog. Our $45.41 base case is +135% upside; even the $19.22 bear case pays at spot.

$26.7M	51.7%	$22.7M	$82.9M	$12.3M	$43.8M
REVENUE (Q3 FY26)	GROSS MARGIN (Q3 FY26)	BOOKINGS (Q3 FY26)	CONTRACTED BACKLOG	9M FY26 FREE CASH FLOW	NET DEBT (1.4X LEVERAGE)

The moat is structural

Exclusive Honeywell license: power generators on 767, KC-46, F-15 with long-tailed aftermarket revenue

Three scenarios make the valuation range explicit

The DCF values IA across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$18.89**	-2%
Base	50%	**$44.67**	+131%
Bull	25%	**$71.69**	+270%

Bear ($18.89, -2%): Growth disappoints and multiples compress; the $18.89 target marks the downside case.

Bull ($71.69, +270%): Execution compounds and the multiple rerates; the $71.69 target marks the upside case.

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The probability-blended target implies +132% upside

Blended target: $44.98 per share

A 25% Bear / 50% Base / 25% Bull weighting implies +132% upside from the $19.35 reference price.

$44.98

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

DCF Base $45.41 vs spot $19.35: +135% [DCF 16-Oct-26] PEG 0.83 [Mkt 17-Oct-26] NTM P/E 17.8x [Mkt 17-Oct-26] Even the $19.22 bear case sits at spot. The market is pricing near-collapse against a growing backlog. Deeply undervalued if execution holds.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $44.98 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Exclusive Honeywell license: power generators on 767, KC-46, F-15 with long-tailed aftermarket revenue [Note 11-Oct-26]

Aydin Displays acquisition ($24.5M): ~$16M 2026 revenue plus naval and ground defense footprint [PR Jul-26]

eVTOL program: $50M+ forward-fit potential, not in base-case backlog conversion [Note 11-Oct-26]

Management's $250M 2029 revenue target underwritten in the base-case DCF [Note 11-Oct-26]

What to monitor

Dec 17, 2026. Q4 FY26 Earnings (Two-Sided): consensus EPS $0.27, revenue est $28.7M vs management's $28-30M guide. Tests backlog conversion pace.

2027. eVTOL Production Ramp (Positive): first production award for Liberty Flight Deck with a leading Japanese developer; $50M+ nominal forward-fit value.

2027-2029. Honeywell License Aftermarket (Positive): exclusive power-generator license on 767, KC-46, F-15 adds high-margin annuity revenue not yet in backlog.

$26.7M	51.7%	$22.7M	$82.9M
REVENUE (Q3 FY26)	GROSS MARGIN (Q3 FY26)	BOOKINGS (Q3 FY26)	CONTRACTED BACKLOG

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME

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2025	$84M	$41M	$16M
2024	$47M	$26M	$7M
2023	$35M	$21M	$6M
2022	$28M	$17M	$6M

Key risks

Backlog Conversion Risk. The $82.9M backlog must convert on schedule to feed the $250M 2029 target. Q3 book-to-bill of 0.85x is below 1.0x; two consecutive quarters below 1.0x would break the thesis. [Note 11-Oct-26]

eVTOL Program Risk. The $50M+ eVTOL opportunity depends on a single Japanese developer's program timeline. Delays or cancellation remove the largest forward-fit growth option. [Note 11-Oct-26]

M&A and Leverage. $24.5M Aydin deal was funded with cash and credit-facility borrowings, leaving $43.8M net debt at 1.4x leverage. A large equity-funded deal would break the capital-light model. [PR Jul-26]

Micro-Cap Liquidity. $346M market cap with limited float and liquidity. Russell 2000 inclusion helps, but the stock can gap hard on small volume and remains execution-dependent. [Mkt 16-Oct-26]

Investment view

Backlog deterioration (two consecutive quarters of book-to-bill below 1.0x) or loss of the eVTOL contract would cut Forward Growth sharply. Conversely, continued beat-and-raise quarters converting backlog toward the $250M target re-rate the stock toward our $45 base case.

Buy. The $44.98 blended target implies +132% upside, balancing the $18.89 / $44.67 / $71.69 Bear / Base / Bull targets.

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Upcoming catalysts

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